

amount of money in relation to the size of the business, regardless of how it is capitalized.

To illustrate this point we append a condensed analysis of Mandel Brothers, Inc., and Gimbel Brothers, Inc., two department-store enterprises, as of September 1939.

Item	Gimbel Bros.	Mandel Bros.
September 1939:		
Bonds at par	\$26,753,000	
Preferred stock	197,000 sh. @ 50 \$9,850,000	
Common stock	977,000 sh. @ 8 \$7,816,000	297,000 sh. @ 5 \$1,485,000
Total capitalization	\$44,419,000	\$1,485,000
Results for 12 months to July 31, 1939:		
Sales	\$87,963,000	\$17,883,000
Net before interest	1,073	155,000
Balance for common	1,105(<i>d</i>)	155,000
Earned per share	1.13(<i>d</i>)	0.52
Period 1934–1938*:		
Maximum sales (1937)	\$100,081,000	\$19,378,000
Maximum net earnings (1937) for common	2,032,000	414,000
Maximum earnings per share of common (1937)	2.08	1.33
High price of common	29 ³ / ₈ (1937)	18 (1936)
Average earnings per share of common	0.23	0.46
Jan. 31, 1939:		
Net current assets	\$22,916,000	\$ 4,043,000
Net tangible assets	75,614,000	6,001,000
Rents paid 1937	1,401,000	867,000

* Based on report for succeeding Jan. 31.

Gimbel Brothers presents a typical picture of a speculatively capitalized enterprise. On the other hand Mandel Brothers has no senior securities ahead of the common, but despite this fact the relatively small market value of the entire issue imparts to the shares the same sort of speculative possibilities (though in somewhat lesser degree) as are found in the Gimbel Brothers set-up. Note, however, that the rental payments